

risk and ride out any market downturns and so you might consider a portfolio more heavily weighted in stocks versus bonds. This is because while bonds can be a solid investment, they are typically much more conservative. Where the average return of stocks over the long-term is between 7 and 8%, bonds have typically had an average return of about 3%. One simple way to allocate the investments in your 3-fund portfolio is to use the rule of thumb, “100 minus your age” to determine your percentage of stocks versus bonds. We'll get into this rule in more detail when we cover rebalancing your portfolio in the next chapter, but the way this works is that you simply use your current age as the percentage of bonds you should have in your portfolio while the rest is in stocks. For example, if you are 30 years old, you could allocate 30% to bonds and the remaining 70% to a mix of U.S. and international stocks. This is just one way a 3-fund portfolio can be structured.

Some other examples of how a 3-fund portfolio can be structured include:

- Having 80% of your investments in a combination of U.S. and international stocks and the remaining 20% in bonds (this 80/20 approach could be considered as aggressive).
- Having your investment equally allocated across U.S. stocks, U.S. bonds, and international stocks, in the amounts of 33% respectively (this equal division approach could be considered as moderately conservative).
- Having 20% of your investments in a combination of U.S. and international stocks and the remaining 80% in bonds (this 20/80 approach could be considered as highly conservative).

The most attractive perks of a 3-fund portfolio are its simplicity, great diversification, ease of management, and low costs. In addition, 3-fund portfolios are well-suited for new investors. If you'd like to take a deeper dive into the 3-fund portfolio, I highly recommend the book, *The Bogleheads' Guide to the Three-Fund Portfolio*, by Taylor Larimore.